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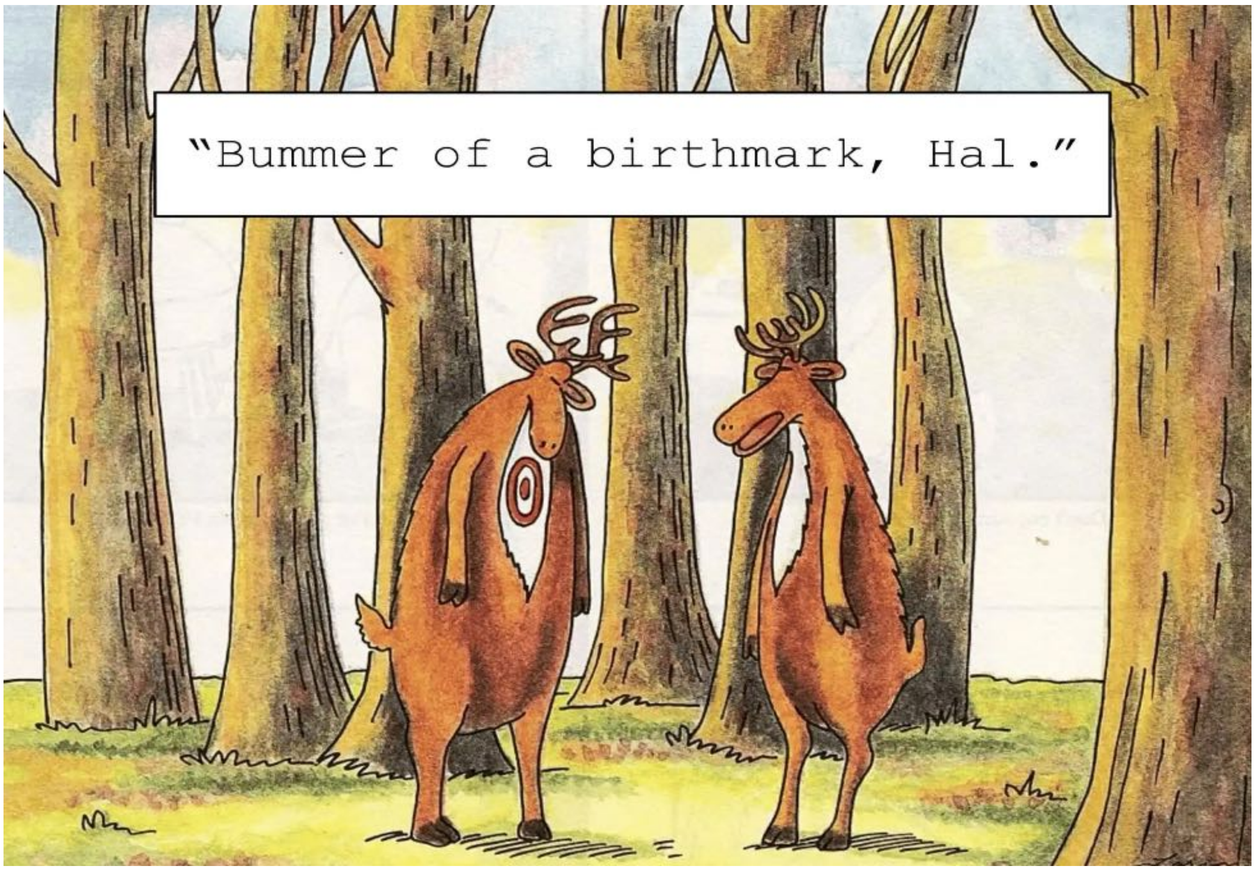

Is My IFA Life Insurance a Tax Shelter?

Application of subsection 237.1(1), section 143.2, and Regulation 3100 to IFA structures.

A fully leveraged Immediate Financing Arrangement ("IFA") may meet the Income Tax Act's technical definition of an unregistered tax shelter — not on account of any abusive intent, but as a mechanical consequence of how the arrangement is typically represented and financed. Where a promoter's own marketing materials and illustrations represent that borrowed funds, matched dollar-for-dollar against the insurance premium, will be invested and will generate a deductible interest expense, and where that financing is properly characterized as a "limited-recourse amount" under section 143.2, the resulting statutory "net cost" calculation under subsection 237.1(1) can fall to $0. At that point, any represented deduction greater than $0 satisfies the numerical tax-shelter threshold, and the registration requirements under subsection 237.1(4) apply.

This memorandum sets out that statutory analysis step by step: the definition of a tax shelter, the identification of the relevant property, the *"in respect of"* connection between the loan and that property, the limited-recourse characterization of the loan, the resulting prescribed-benefit calculation, and the consequences that follow if the arrangement is not registered. It also addresses objections that a promoter or lender might raise, and sets out the scope and limits of the analysis. The purpose is not to conclude whether any particular IFA is or is not a tax shelter, but to identify the statutory questions required to reach that conclusion.

1. Background: The IFA Structure and Why Deductibility Matters

An IFA does not eliminate the cost of life insurance. It replaces a known, finite premium obligation with an open-ended interest obligation that can continue for the life of the insured.

In a standard IFA structure, a client purchases a permanent life insurance policy and pays the premium out of pocket. Immediately afterward, a bank lends the client an amount equal to that premium, secured in part by the policy's cash value. The loan proceeds are then invested. Because the loan matches the premium dollar-for-dollar, the net cash outlay in the year of the transaction is $0, and the illustration typically shows the projected loan balance subtracted from the eventual death benefit to arrive at a "net death benefit" figure. The debt is generally intended to remain outstanding for life and to be repaid from the tax-free proceeds of the policy on death.

The annual cost of carrying that debt is the interest charge, and the arrangement's economics depend heavily on whether that interest is deductible. Paragraph 20(1)(c) of the Income Tax Act specifically excludes interest on money borrowed to acquire an interest in a life insurance policy. If the interest were simply non-deductible, the client would be carrying that cost by one of two routes, either of which can erode or eliminate the arrangement's advantage: if the interest is capitalized onto the loan, the compounding balance can eventually approach or exceed the death benefit itself, eroding the net death benefit remaining after the loan is repaid on death; if it is instead paid out of pocket, its cumulative after-tax cost over the client's lifetime can exceed the cost of simply purchasing, with the same out-of-pocket dollars, an equivalent policy funded without any financing at all — a comparison that must be made on a net basis, measuring the IFA's net death benefit (after loan repayment) against the full death benefit of the unfinanced alternative.

For this reason, the represented interest deduction is not an incidental feature of the illustration — it is structurally necessary to the arrangement's stated value proposition. The deduction is obtained by representing that the borrowed funds, rather than the insurance premium, were used to acquire an income-producing investment, so that the interest qualifies under paragraph 20(1)(c). That single design choice — matching a loan exactly to a premium cost, and representing that the full amount of the loan was invested to produce a deduction — is what brings the arrangement within the ITA's tax-shelter definition, as set out below.

2. The Statutory Definition of a Tax Shelter

Subsection 237.1(1) of the Income Tax Act defines a tax shelter, in relevant part, as an investment in property where it is reasonable to consider, having regard to statements or representations made or proposed to be made in connection with the property, that a purchaser could reasonably be expected to have deductions, losses, or credits within the first four years equal to or exceeding the purchaser's net cost of the property. Net cost is determined after subtracting any "prescribed benefits" expected to be received in respect of the property, directly or indirectly.

The CRA's own public guidance summarizes the test as follows:

"...a tax shelter is:... an investment in property... where it is reasonable to consider, based on statements or representations made or proposed to be made in connection with... the property, that within the first four years of buying an investment in the property... the buyer... will have losses, deductions, or credits equal to or greater than the net cost of the original investment or of the property acquired... 'Net cost' is net of any prescribed benefits expected to be received or enjoyed, directly or indirectly, by the person..." — Canada.ca, "What is a tax shelter?" (CRA)

This produces three variables that must be established before the test can be applied:

Variable	Question	Statutory Basis
A	What is the cost of the property acquired?	ITA s. 237.1(1)(b)(ii)(A) — cost determined without reference to s. 143.2
B	What prescribed benefit — including any limited-recourse financing — is expected in respect of that property?	ITA s. 237.1(1)(b)(ii)(B); ITR Reg. 3100; ITA ss. 143.2(7) and 143.212)
C	What deductions, losses, or credits are represented in the first four years?	ITA s. 237.1(1)(b)(i)

The statutory test is: If C ⩾ (A − B) → the arrangement meets the tax-shelter threshold under s. 237.1(1) and registration is required.

This test is triggered by representations made — through sales meetings, promotional materials, or financial illustrations — rather than by the arrangement's actual commercial outcome. Subsection 237.1(4) requires a Tax Shelter Identification Number to be obtained before the arrangement may be sold, issued, or funded, and this obligation arises regardless of whether the represented deductions are ultimately sustained on audit. Where a structure has a potentially $0 net cost, this statutory calculation is not a peripheral consideration; overlooking it exposes the arrangement to the penalties discussed in Section 12, irrespective of intent.

The sections that follow walk through this three-part cascade as applied to a standard, fully leveraged IFA: first identifying the relevant property (A), then establishing whether the loan constitutes a prescribed benefit in respect of that property (B), and finally applying the arithmetic to the represented deductions (C).

3. Identifying the Relevant Property (A)

The natural first reaction is to treat the life insurance policy as the relevant property. For the purpose of this analysis, that is unnecessary, because the illustration itself identifies a second, and more relevant, property interest: the investment acquired with the borrowed funds.

This follows directly from the structure of paragraph 20(1)(c). Interest is deductible only where borrowed money is used for the purpose of earning income from a business or property; interest on money borrowed to acquire a life insurance policy is expressly excluded. Consequently, if an IFA illustration represents any interest as deductible, that representation is possible only on the premise that the borrowed funds were used to acquire a qualifying, income-producing investment. The illustration's own "deductible interest" line is, in effect, an admission that a qualifying investment property exists and that the loan was applied to it. This holds even where marketing materials do not name the specific asset: the represented deduction itself is what pulls a qualifying investment property into the statutory calculus.

A more precise point should be made here, because it is where an inexact version of this argument can be overstated. The fact that the full amount of interest on a loan is represented as deductible does not, by itself, prove that the entire loan was applied to the investment; paragraph 20(1)(c) permits partial-use tracing, and a promoter could in principle represent only a portion of a larger facility as being used for investment purposes. The defensible proposition is narrower: where the illustration represents the *entire* interest charge on the loan as deductible on the basis that the *entire* loan was used to acquire the investment, that representation identifies the *full amount* of the loan as financing for that investment. This is the fact pattern under consideration, and a reviewer should confirm it against the specific documentation and illustration at issue before relying on the analysis that follows.

This conclusion is corroborated by CRA's own administrative practice. Tax Shelter Form T5001 does not require a promoter to name a specific underlying asset. It requires disclosure of the represented deductions, and pre-populates "interest expense" as a deduction category on the form itself. The tax-shelter reporting regime therefore treats the represented deduction as sufficient, on its own, to identify the relevant property interest — confirming that the statutory nexus arises from the representation, not from the taxpayer's ultimate portfolio choices.

4. The "In Respect Of" Connection

Establishing that a qualifying investment property exists is necessary but not sufficient. It must be shown that the loan is "in respect of" that property, since R. 3100 defines a prescribed benefit by reference to amounts reasonably expected in respect of an interest in property.

The phrase "in respect of" has been given the widest possible scope by the Supreme Court of Canada. In *Nowegijick v. The Queen*, [1983] 1 S.C.R. 29, Mr. Justice Dickson wrote for the Court:

> *"The words 'in respect of' are, in my opinion, words of the widest possible scope. They import such meanings as 'in relation to', 'with reference to' or 'in connection with'. The phrase 'in respect of' is probably the widest of any expression intended to convey some connection between two related subject matters."*

This breadth does not mean that any borrowing anywhere in a taxpayer's financial affairs automatically becomes a prescribed benefit in respect of any investment the taxpayer happens to hold. It means only that the debt and the property need not be the same legal asset for a sufficient connection to exist. Here, the connection is direct rather than incidental: the loan is represented as the source of the deductible interest, and that deduction is represented as arising only because the loaned funds were used to acquire the investment. The promoter cannot obtain the paragraph 20(1)(c) deduction without representing that qualifying use of the borrowed funds, and that same borrowing is the borrowing whose limited-recourse status is tested under section 143.2. The represented deduction is therefore tied to the loan, and the loan is tied to the investment, in a manner that comfortably satisfies the Nowegijick standard as incorporated into Regulation 3100(1).

5. Is the Loan a Limited-Recourse Amount?

The second element of the prescribed-benefit analysis is whether the loan is a "limited-recourse amount" as defined in the Act. This question is frequently misunderstood by reference to ordinary commercial criteria that are not, in fact, the statutory test.

Industry practitioners evaluating an IFA loan often point to outside collateral, personal guarantees, and the lender's ability to demand repayment as evidence that the debt is "fully recourse." These features are relevant to a bank's commercial credit assessment, but they do not answer the statutory question. Subsection 143.2(7) is a deeming provision that overrides ordinary commercial characterization on its own terms:

> *"...the unpaid principal amount of the indebtedness shall be deemed to be a limited-recourse amount... unless bona fide arrangements were made in writing, at the time the indebtedness arose, for repayment of all principal and interest... within a reasonable period not exceeding 10 years."*

Paragraph 143.2(7)(a) contains the repayment-arrangement requirement; paragraph 143.2(7)(b) contains separate interest conditions, requiring that interest be paid at least annually, at or above the prescribed rate, within 60 days of the debtor's tax year-end. In practice, the interest conditions are frequently satisfied, subject to verification. It is the principal-repayment condition — a bona fide written arrangement, made at inception, to repay all principal within 10 years — that is far more difficult for a standard IFA facility to satisfy, given that these facilities are typically structured as interest-only, annually renewable demand loans with no fixed maturity date, intended to remain outstanding until the death of the insured.

The annually renewable demand-loan workaround

The specific argument promoters are likely to raise is that an annually renewable demand loan — one that is, on its face, renewed or re-advanced on a one-year cycle — is by its own terms shorter than 10 years, and therefore cannot fail the 10-year test in paragraph 143.2(7)(a). Subsection 143.2(12) anticipates precisely this argument: where a repayment arrangement can reasonably be considered part of a "series of loans or other indebtedness and repayments" extending more than 10 years from when the series begins, the debtor is treated as not having made arrangements to repay within 10 years. The one-year renewal cycle does not, on its own, answer this question; what matters is whether the successive one-year facilities form part of a longer continuing series. Where standard IFA loan documentation and marketing materials both describe the facility as being carried for the life of the insured, with death classified as a triggering repayment event, the successive annual renewals of the facility are properly viewed as part of exactly this kind of continuing series, notwithstanding the nominal one-year term of any single renewal. On these facts, the annually renewable demand-loan structure fails the 10-year test and is deemed a limited-recourse amount, regardless of the collateral or guarantees securing it.

This is not merely a theoretical construction of the statute. A 2010 CRA advance income tax ruling, 2009-0340381R3, considered a demand loan secured by a life insurance policy and an annuity and concluded that the loan was a limited-recourse amount, while separately concluding, on the specific facts of that case, that the arrangement was not a tax shelter because the taxpayer had used a portion of personal capital to acquire the annuity, meaning the mathematical threshold in Section 8 below was not met. That ruling is useful for two reasons: it confirms that CRA does apply limited-recourse characterization to demand-loan structures of this kind, notwithstanding their renewable, sub-10-year nominal terms, and it confirms that the limited-recourse question and the numerical tax-shelter test are analytically separate; an arrangement can involve limited-recourse debt without necessarily being a tax shelter, if the cost figures do not produce a net cost at or below the represented deductions.

This is not solely an outside observation. Industry compliance literature aimed at insurance advisors who design and implement these arrangements has separately identified the same risk, noting CRA's willingness to treat demand-style facilities as limited-recourse amounts and encouraging advisors to document a clear repayment term of under 10 years, without automatic renewal, as a matter of prudent practice. That the profession's own compliance guidance points to the same annual-renewal feature discussed above, as the characteristic most likely to trigger subsection 143.2(12), corroborates the analysis in this memorandum: the risk identified here is one the advisory community has already flagged internally, not a novel theory imported from outside the practice.

6. Regulation 3100(3): Completing the Prescribed-Benefit Analysis

Once a loan is established to be both (a) in respect of the relevant property, as discussed in Section 5, and (b) a limited-recourse amount, as discussed in Section 6, Regulation 3100(3) applies with statutory automaticity. It provides that a limited-recourse amount in respect of a property, determined under subsection 143.2(1), (7), or (13), is a prescribed benefit in respect of that property, subject to specific exclusions set out in the regulation that are not generally applicable to a standard bank loan of this kind.

No further argument or inference is required at this stage. With the property identified (variable A) and the loan established as a prescribed benefit in respect of that property (variable B), both inputs required for the tax-shelter calculation are in place.

7. The Tax-Shelter Calculation

With variables A and B established, the remaining step is arithmetic rather than interpretation.

Because the illustration represents that the full amount of the loan was invested — the borrowed amount and the invested amount are the same represented figure — the cost of the property (A) and the prescribed benefit against it (B) are the same number:

A − B = $0

This is not the product of any double-counting. Section 237.1 determines the cost of the property without reference to section 143.2; the limited-recourse characterization enters the calculation separately, through the prescribed-benefit deduction under paragraph 237.1(1)(b)(ii)(B). The $0 net cost figure results directly from the definition itself.

Once net cost is $0, the only remaining question is whether the represented deductions in the first four years (variable C) exceed $0. Because C ⩾ (A − B) is satisfied the moment C is any amount greater than zero, the size of the represented deduction is legally irrelevant to the outcome of the test — only its sign matters. A represented deduction of $500, $50, or $1 satisfies the threshold as completely as a represented deduction of $50,000. This is the mechanism by which a fully leveraged IFA, represented and structured in the manner described above, can mechanically satisfy the statutory tax-shelter definition without any additional facts.

9. A Diagnostic Test for Advisors

An advisor or promoter who disagrees with the application of this analysis to a particular arrangement does not need to accept or refute the analysis in the abstract. The following questions can be applied directly to the specific illustration and loan documentation at issue:

1. What property does the illustration represent as being acquired with the borrowed funds? If the answer is "the investment," the relevant property has been identified.
2. Why is the interest on the loan represented as deductible? If the answer depends on the borrowed funds having been used to acquire an income-producing investment, the loan-to-property relationship has been expressly represented.
3. Was there a bona fide, written arrangement, made at the time the debt arose, requiring repayment of all principal and interest within 10 years? If yes, that arrangement should be identified and reviewed. If no, subsection 143.2(7) must be addressed.
4. If the loan is a limited-recourse amount, on what basis is it not a prescribed benefit in respect of the investment identified in Question 1, given Regulation 3100(3)?
5. If the loan is a prescribed benefit in respect of the investment, what is the resulting statutory net cost under the formula in Section 3?
6. If the represented deductions in the first four years are greater than $0, and the net cost calculated in Question 5 is $0, how does the arrangement avoid satisfying the numerical test in subsection 237.1(1)?

A contrary analysis of any particular arrangement should be able to identify the specific point in this chain — the property, the "in respect of" connection, the limited-recourse characterization, the application of Regulation 3100(3), or the represented deduction itself — at which it diverges from the facts assumed above.

10. Consequences of Unregistered Tax-Shelter Status

Where an arrangement meets the statutory definition of a tax shelter, the promoter is required, before selling, issuing, or accepting consideration in respect of the arrangement, to obtain a Tax Shelter Identification Number from the CRA and to file the required prescribed information, including a list of subscribers. Obtaining an identification number does not signify CRA approval of the arrangement or of any represented deduction; it is a disclosure mechanism, and registration typically results in increased audit scrutiny of the arrangement.

If an arrangement meeting the tax-shelter definition is sold without registration, or if the required filings are not made, the following consequences may apply:

- **Denial of deductions.** Under subsection 237.1(6), no amount may be deducted or claimed in respect of a tax shelter unless the prescribed form containing the tax-shelter identification number has been filed.
- **Reduction of cost basis.** Section 143.2 contains rules that can reduce the capital cost or other expenditure amount of a tax-shelter investment by the amount of any specified limited-recourse debt associated with it.
- **Promoter and third-party penalties.** Under subsection 237.1(7.4), selling or accepting consideration in respect of an unregistered tax shelter can result in a penalty equal to the greater of $500 and 25% of the applicable statutory consideration amount. Separately, section 163.2 provides for third-party civil penalties where a person makes or participates in a false statement in connection with a taxpayer's affairs, under a culpable-conduct standard; this provision is not engaged merely because a tax position advanced by an advisor is ultimately unsuccessful on its merits.

Conclusion

A mechanical tax-shelter analysis of a fully leveraged IFA does not require any speculative recharacterization of the arrangement or resort to the General Anti-Avoidance Rule. Following the promoter's own representations and the taxpayer's own tracing of borrowed funds for paragraph 20(1)(c) purposes is sufficient to raise the statutory questions addressed above: what property was acquired, whether the loan financing that property is a limited-recourse amount, whether that amount is a prescribed benefit in respect of the property, and whether the represented deductions in the first four years equal or exceed the resulting net cost.

Where those facts converge — a loan matched dollar-for-dollar to the premium, represented as fully invested, generating a represented deduction, and lacking a bona fide 10-year repayment arrangement — the arrangement falls within the numerical definition of a tax shelter under subsection 237.1(1), and the registration requirements of subsection 237.1(4) apply before the arrangement may lawfully be sold. Any professional reviewing a specific IFA arrangement should be able to identify the precise point in this statutory chain — the property, the cost, the "in respect of" connection, the limited-recourse characterization, the application of Regulation 3100(3), or the represented deduction itself — at which the facts of that particular arrangement diverge from this analysis. Where they do not diverge, the statutory consequences set out in Section 12 apply regardless of the intentions of the parties involved.

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Scope and Limits of This Analysis

This analysis does not establish that every IFA is a tax shelter. It does not establish that every investment loan secured in whole or in part by a life insurance policy is a tax shelter. It does not establish that every deduction represented in an insurance illustration is valid or sustainable on audit. It does not eliminate the need to examine the actual loan agreement, the actual investment made, the tracing of borrowed funds, the specific representations made to the purchaser, and the specific repayment arrangements in place, in every individual case.

What the analysis does establish is narrower: a fully leveraged IFA, in which the borrowed funds are matched dollar-for-dollar to the premium and represented as fully invested, in which the resulting interest is represented as deductible, and in which the debt lacks a bona fide written arrangement to repay principal within 10 years, can produce a statutory net cost of $0 under subsection 237.1(1). Where that is the case, any represented deduction greater than $0 in the first four years satisfies the numerical threshold of the tax-shelter definition, triggering the registration requirement under subsection 237.1(4) irrespective of the parties' intentions. This is a statutory calculation, not an argument from intention, and not an invocation of the General Anti-Avoidance Rule.

Anticipating the Objections

"This would make every investment loan a tax shelter." It would not. An ordinary investment loan typically involves an independently selected investment, borrowing sized to the investor's own financing needs, a bona fide repayment arrangement, no exact matching of the loan to an unrelated cost such as an insurance premium, and no representation that the arrangement produces a $0 net cost. Those facts do not produce the same result. The argument advanced in this memorandum is narrower and fact-specific: it applies where the financing exactly matches the premium, the proceeds are represented as invested, the resulting interest is represented as fully deductible, and the principal is intended to remain outstanding beyond 10 years. That is a specific fact pattern, not a description of investment borrowing generally.

"The bank treats the loan as fully recourse." This observation, while accurate as a description of the bank's commercial position, does not answer the statutory question. A personal guarantee, additional collateral, a right of set-off, or the lender's ability to demand repayment may all be relevant to a bank's internal credit risk assessment. None of them, individually or collectively, constitutes a bona fide written arrangement made at the time the debt arose to repay the principal within 10 years, which is the specific condition that subsection 143.2(7) requires in order to avoid limited-recourse characterization. The commercial and statutory characterizations of the same loan can diverge, and it is the statutory characterization that governs the tax-shelter test.

Appendix A: The Statutory Chain

- **ITA s. 143.2(7):** Deems the unpaid principal of an indebtedness to be a limited-recourse amount unless there is a bona fide written arrangement, made at the time the debt arose, to repay principal and interest within a reasonable period not exceeding 10 years, together with compliant interest-payment terms.
- **ITA s. 143.2(12):** Extends the analysis to a series of loans or other indebtedness and repayments that, considered together, extends beyond 10 years from when the series begins.
- **ITR Regulation 3100(3):** Defines a prescribed benefit, for tax-shelter purposes, to include an amount that is a limited-recourse amount under s. 143.2(1), (7), or (13), subject to specified exclusions.
- **ITA s. 237.1(1):** Defines a tax shelter by comparing represented deductions, losses, or credits in the first four years against the net cost of the property, being its cost less any prescribed benefits.
- **ITA s. 237.1(4):** Requires a Tax Shelter Identification Number to be obtained before a tax shelter is sold, issued, or funded.
- **ITA s. 237.1(6):** Prohibits deductions or claims in respect of a tax shelter unless the prescribed form containing the tax-shelter identification number has been filed.
- **ITA s. 143.2(6):** Contains rules that can reduce the capital cost or expenditure amount of a tax-shelter investment by specified limited-recourse amounts.
- **ITA s. 237.1(7.4) and s. 163.2:** Provide for promoter penalties in respect of unregistered tax shelters and third-party civil penalties for false statements made under a culpable-conduct standard, respectively.

Appendix B: Case Law and CRA Ruling Resources

- **CRA Technical Interpretation 2006-0196251C6** and **CRA Advance Income Tax Ruling 2009-0340381R3 (2010):** CRA positions discussing demand loans and limited-recourse characterization under section 143.2 in the context of a leveraged insurance/annuity arrangement.
- ***Nowegijick v. The Queen*, [1983] 1 S.C.R. 29:** Supreme Court of Canada authority establishing that the phrase "in respect of" is to be given the widest possible scope in tax legislation, requiring only a nexus or "thought connection" between the two subject matters.

- ***Hexalog Ltée c. La Reine*, 2005 TCC 67:** Tax Court authority for the proposition that, where an asset, a financing facility, and a reinvestment strategy are marketed and implemented as a single integrated package, they may be treated as one composite property for purposes of subsection 237.1(1).
- ***Krumm v. Canada*, 2021 FCA 78:** Confirms that the tax-shelter test is an objective statutory inquiry, applied by reference to the representations made and the statutory cost calculation, rather than a subjective inquiry into intent.
- ***Canada v. Baxter*, 2007 FCA 172** and ***Jevremovic v. Canada*, 2007 FCA 125:** Federal Court of Appeal decisions upholding the statutory reporting consequences that flow from unregistered tax shelters.
- **CRA Information Circular IC01-1R2, "Third-Party Civil Penalties":** CRA's administrative guidance on the application of section 163.2 to advisors who promote aggressive tax structures.
- **CALU Practice Note, "Best practices for insured leveraging programs – Part II" (May 30, 2023):** Industry guidance to insurance advisors on interest deductibility, the collateral insurance deduction, the tax-shelter rules, and the General Anti-Avoidance Rule as applied to early and immediate financing arrangements.

Appendix C: Characteristics of Typical IFA Bank Loans

Based on standard industry loan documentation, IFA bank facilities commonly exhibit the following features, each of which is relevant to the statutory analysis above:

- **Demand-loan structure with no fixed maturity.** The facility is typically an interest-only demand loan, with no contractual schedule requiring repayment of principal within any specific 10-year period.
- **Death as a triggering repayment event.** The death of the insured is generally treated as the point at which the outstanding balance is to be repaid, consistent with an intended term spanning the life of the insured rather than a fixed period.
- **Direct linkage to the reinvested funds.** Loan advances are frequently conditioned on evidence that the proceeds will be, or have been, reinvested at a value at least equal to the loan amount, tying the financing directly to the investment rather than treating the two as independent transactions.
- **Controlled tracing.** Loan terms commonly prohibit using the facility, or the policy's accumulated cash value, to pay the insurance premium directly — a restriction that has the effect of enforcing the two-step "pay premium, then borrow and invest" sequence required to support a paragraph 20(1)(c) deduction.

- **Facility limits tied to premiums and cash value.** Annual advances and overall facility limits are frequently sized to cumulative premiums paid and the policy's cash surrender value, rather than structured as a general-purpose credit facility.
- **Product branding as an integrated strategy.** These facilities are frequently marketed and documented as a named, integrated product tied to the specific life insurance policy, reinforcing the characterization of the arrangement as a single package rather than two unrelated transactions.
- **Lender disclaimer regarding tax treatment.** Loan agreements typically include a disclaimer that the lender makes no representation regarding the tax consequences of the arrangement, which has the effect of isolating the insurance promoter as the party responsible for the paragraph 20(1)(c) representations that give rise to the statutory tax-shelter analysis.

Any review of a specific IFA arrangement should be conducted against the complete documentation for that arrangement: the actual loan agreement, policy illustration, financing conditions, and marketing materials, rather than by reference to these general characteristics.

Industry and Regulatory Context

If statutory warnings and industry guidance are not enough, consider the CRA's explicit response to Question 1 at the 2026 CRA Roundtable (Reference: 2026-1089291C6) regarding their current audit activities:

> *"We continue to seek out, audit and re-assess all arrangements which attempt to utilize insurance products or insurance-like products to gain a tax advantage not envisioned by tax policy and legislation. Within CRA, the High Net Worth Compliance Directorate (HNWCD) develops, implements, and coordinates business intelligence and compliance initiatives to address non-compliance in the High Net Worth population through the Audit Program Division, which includes the Aggressive Tax Planning audit program (ATP), and the Tax Promoter and Advisor Compliance program (TPAC).*
>
> *While the ATP Audit Program addresses aggressive tax planning by taxpayers who participated in such abusive insurance-related tax schemes, the TPAC program addresses non-compliance associated with promoters and advisors who promote or sell aggressive tax schemes. TPAC is accountable for identifying and combating aggressive tax schemes and holding promoters accountable through audit activities."*

Navigating these statutory definitions requires an objective review to mitigate potential risks before an audit occurs.

Characteristics of an Immediate Financed Life Insurance Plan

Income Tax Rate: 50.17%

Loan Interest Rate: 5.00%

Characteristics of an Immediate Financed Life Insurance Plan
Deposits as Scheduled
Current -1 Dividend Scale 5.35% (For Information Purposes Only)

		Policy Information			Loan Details			Annual Deductions				Benefits
		#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12
		Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest	Tax Deductible Premium	Total Annual Tax Deductions (#8 + #9)	Total Annual Tax Savings (#10xTx%)	Net Death Benefit (#3 - #5)
1	**60**	**$100,000**	**$61,091**	**$1,446,039**	**$100,000**	**$100,000**	**$38,909**	**$5,000**	**$175**	**$5,175**	**$2,596**	**1,346,039**
2	61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	1,386,368
3	62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	1,428,112
4	63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	1,468,904
5	**64**	**100,000**	**349,913**	**2,008,261**	**100,000**	**500,000**	**150,087**	**25,000**	**2,060**	**27,060**	**13,576**	**1,508,261**
6	65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	1,546,651
7	66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	1,584,685
8	67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	1,622,740
9	68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	1,661,174
10	**69**	**100,000**	**943,038**	**2,700,334**	**100,000**	**1,000,000**	**56,962**	**50,000**	**7,789**	**57,789**	**28,993**	**1,700,334**
11	70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	1,666,002
12	71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	1,634,855
13	72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	1,606,979
14	73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	1,582,453
15	**74**	**0**	**1,280,453**	**2,561,357**	**0**	**1,000,000**	**0**	**50,000**	**14,229**	**64,229**	**32,224**	**1,561,357**
16	75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	1,543,051
17	76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	1,526,713
18	77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	1,512,257
19	78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	1,499,626
20	**79**	**0**	**1,511,107**	**2,488,774**	**0**	**1,000,000**	**0**	**50,000**	**16,379**	**66,379**	**33,302**	**1,488,774**
21	80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	1,479,661
22	81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	1,472,255
23	82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	1,466,528
24	83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	1,462,467
25	**84**	**0**	**1,788,435**	**2,460,038**	**0**	**1,000,000**	**0**	**50,000**	**16,570**	**66,570**	**33,398**	**1,460,038**
26	85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	1,459,189
27	86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	1,459,866
28	87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	1,462,024
29	88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	1,465,619
30	**89**	**0**	**2,096,731**	**2,470,612**	**0**	**1,000,000**	**0**	**50,000**	**16,499**	**66,499**	**33,363**	**1,470,612**
31	90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	1,476,217
32	91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	1,530,229
33	92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	1,584,179
34	93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	1,638,095
35	**94**	**0**	**2,438,237**	**2,691,999**	**0**	**1,000,000**	**0**	**50,000**	**0**	**50,000**	**25,085**	**1,691,999**
36	95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	1,745,912
37	96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	1,799,844
38	97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	1,853,789
39	98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	1,907,715
40	**99**	**0**	**2,867,532**	**2,961,547**	**0**	**1,000,000**	**0**	**50,000**	**0**	**50,000**	**25,085**	**1,961,547**
41	100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	2,015,145

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